

Bump & Run Rervesal Bottom

Cheat Sheet



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Bump and Run Reversal Bottom

- **Phase one** is the Lead in phase which consists of a high being hit and then a downtrend in the market with lower highs which eventually creates a big sell off.
- **Phase two** is the Bump phase which forms after price has declined heavily. In this phase you may see a bottom pattern form such as an Adam and Eve or Cup and Handle and price will make its way back up to the original downwards trend line.
- **Phase three** is the Uphill run which starts when price breaks the trend line resistance.

Good to see **high volume** at the **formation start, bump start and upward breakout of the trendline** but this is not a prerequisite. As you can get dual bump and runs, only buy when stock breaks trend line resistance.

The target of the Uphill run is the high of the Lead in phase. Upon entering place a SL below the trend line and trail the SL as price moves upwards.





Trading Trend Lines



Here is a trade example from BTC/USD. Bitcoin forms the lead in phase of a descending triangle followed by the bump phase of an ascending triangle and has just started its uphill run.

Long position taken on break of trend line at \$3995 and target for long is \$9820.

BTCUSD 05/2019 to 04/2020